MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

October 5, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Stronger Growth, Costlier Money:* Revised government data show the U.S. economy has accelerated despite the tariffs and oil shocks. Real gross domestic product (GDP) growth was revised up, and, given modestly higher labor input, productivity is expected to show even stronger growth than has been reported. High operating leverage alongside strong productivity has benefited corporate profits. Following methodological changes, "core" personal consumption expenditures (PCE) inflation momentum declined over the past three months. Still, while inflation sensitive to labor market conditions eased further, unresolved upside pressures on "acyclical" inflation from diesel shortages and rising freight costs threaten to keep overall inflation elevated. The rise in bond yields appears caused by a mix of stronger growth and higher premium for inflation as well as government debt funding pressures—a less favorable combination for risk assets than if rising U.S. productivity alone were lifting the neutral interest rate.

Market View—*Yields, Yen and Iran: What Haunts the "House":* A weaker yen, rising Treasury yields and the drawn-out conflict with Iran are all moving counter to Treasury Secretary Scott Bessent's policy goals. While the summer intervention helped stabilize the yen, its appreciation has been modest and dependent on further intervention/action from the Bank of Japan (BoJ). At the same time, Treasury yields have climbed sharply across the curve, with the MOVE Index subject to the velocity of the bond market repricing.

Abroad, geopolitical risks remain elevated. Delays in reopening the Strait of Hormuz and disruptions to Russian refining capacity have kept energy markets tight, particularly in diesel. Despite these headwinds, our outlook remains constructive. Ultimately, the backstop for the markets is the corporate sector's ability to deliver on earnings into 2027.

Thought of the Week—*When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional:* And the money keeps coming: Both portfolio and foreign direct investment (FDI) inflows are running at record levels this year, a dynamic that speaks to 1) the attractiveness of U.S. assets and 2) the U.S. economy as a place to do business. Global investors invested some $942 billion (B) in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to $426B, up 62% from the same period a year ago. Meanwhile, foreign multinationals invested some $240B into the U.S. in the first six months of this year. That is a staggering 103% jump from a year ago; FDI inflows are on track for a record year, estimated at $480B for 2026.

AUTHORS

Chief Investment Office
Macro Strategy Team

Lauren Sanfilippo
Director and Senior Investment Strategist

Joseph Quinlan
Managing Director and Head of Market Strategy

MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9155634 10/2026

Stronger Growth, Costlier Money

Chief Investment Office, *Macro Strategy Team*

The latest GDP report and annual revisions show a sturdier U.S. economy than previously reported. According to the Bureau of Economic Analysis (BEA), real GDP grew at a 2.2% annualized pace in Q2 compared to 1.5% previously estimated, and Q1 was revised from 2.1% to 2.5%. Both 2024 and 2025 were also revised slightly higher. Most of the first half of the year revision was in categories related to the Artificial Intelligence (AI) buildout, but real consumer spending has also been revised slightly higher, accelerating from 0.7% annualized growth in Q1 to 3.8% in Q2 despite surging energy prices and slow hiring.

Spending in July and August remained much stronger than labor market conditions alone would suggest, also averaging 3.7% annualized growth. Upside revisions to net interest income and personal saving suggest households have benefited from more income than was previously apparent, with personal saving revised higher back to 2023. The new data, according to the BEA, show the January to July 2026 savings rate averaged 4.8% versus 3.3% prerevision, strengthening consumer spending underpinnings despite moderate hiring, high energy prices and rising borrowing costs.

The BEA update also included inflation methodological changes related to categories inflated by the AI boom—such as portfolio management fees and computer software and accessories. These improved the inflation picture to some extent—August "core" PCE inflation was reduced by 0.3 ppts to 3% YoY, bringing it closer to "core" consumer price index inflation, which was 2.5% YoY and 2% on a three-month annualized basis. While still above the 2% Federal Reserve (Fed) target, "core" PCE now appears stable at 3% year over year since January rather than accelerating. These methodological changes are expected to dampen pass-through of AI-related price pressures into "core" inflation and effects of stock-market swings on inflation.

They also produced an encouraging improvement in recent PCE inflation momentum. Three-month annualized "core" PCE inflation slowed from 4.3% at the peak of tariff effects in February to 2.1% in August. For durable goods, this rate was down from 5.8% in February to 1.5% in August, and, for services ex-energy and healthcare, it slowed from 4.2% to 2.2%, for example. Inflation is volatile on a three-month change basis, so it remains to be seen whether this moderation continues without further Fed tightening.

For now, the trends in the San Francisco Fed's cyclical versus acyclical inflation measures diverged again in August. As expected, given softening wage growth, prices most sensitive to the labor market have eased further. At 3% YoY, this inflation category is down from 8% in early 2023 and 4.6% two years ago is back to prepandemic levels and is likely to ease more (Exhibit 1A). In contrast, supply bottlenecks, high energy prices and other industry-specific factors have kept acyclical inflation on an uptrend. As shown in Exhibit 1B, the relentless increase in freight costs could prolong upside pressure on this category.

The diesel market has tightened in recent months, boosting its price by 70% YoY, consistent with Brent oil at around $200 per barrel and large reverberations across a wide swath of goods and services prices. A government-policy-related decline in available truck drivers is also raising transportation costs more than expected. So are tight ocean shipping capacity and longer/more expensive voyages due to the U.S./Iran War. Supply-chain stress also increased as companies rushed to front-run potential new tariff increases.

On the positive side for the inflation outlook, unit labor costs (ULC) are up modestly as robust productivity growth has absorbed much of the wage growth, limiting a major source of domestic inflation. Upside productivity growth revisions are likely to further reduce ULC, which could help shift focus from energy and AI-related inflation to eventual disinflationary effects once oil and refined fuel prices start to ease. Sustained productivity gains would support growth and margins while limiting inflation and the need for much higher interest rates.

Investment Implications

We favor selective Equity exposure to companies with durable demand and pricing power, while remaining cautious about businesses most exposed to fuel, freight, and financing costs. We would also gradually increase long-duration exposure.

Surging nominal growth has boosted corporate revenues (up 13% YoY in Q2, according to the BEA) while contained unit labor costs helped raise margins and profits more than expected. With labor costs declining as a share of revenues, investment-related tax incentives and rock-bottom net interest expense, pre-tax nonfinancial corporate profits as measured in GDP accounts rose 21% YoY in Q2. Total corporate profits after-tax were up 18.2% YoY, according to the BEA.

Surging AI-related imports and investment are keeping the business and profits cycle on an uptrend both here and abroad. According to BofA Global Research, the global economic cycle backdrop improved further in September, as reflected in a broad-based increase in its Global Wave[1] indicator. Broadening U.S. manufacturing strength, fueled by ongoing AI-driven investment, a healthier orders backlog and low inventories suggest that the expansion has room to run—a constructive environment for earnings. Typically, a Global Wave upswing is consistent with rising earnings revisions ratios and equity price uptrends. According to the Global Wave, global earnings growth expectations remain exceptionally strong.

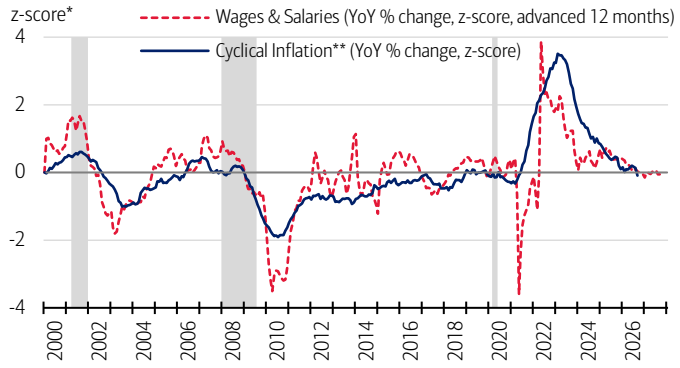
Still, absent a resolution of war-related energy and transportation disruptions, the same industrial strength intensifies inflation pressures. A prolonged supply shock raises the risk of restrictive interest rates and weakening economic growth. In this context, the surge in the 10-year Treasury yield above 5% is starting to reflect more than optimism about U.S. growth and strengthening productivity outlook. Oil's tightest recent correlation with 10-year Treasury yields in 35 years suggests a common energy-price thread behind rising yields in developed countries.

Bond market spillovers from normalizing Japan yields and capital repatriation are another common thread. Higher yields on foreign sovereign bonds such as in Japan—which has escaped stagnation and deflation by intensely pursuing investment-led growth—weaken the relative appeal of Treasurys. That distinction matters for portfolios. A yield increase driven mainly by durable productivity gains would come with a stronger outlook for future income and earnings. A yield increase driven by cost shocks and greater uncertainty raises financing costs without the same benefit.

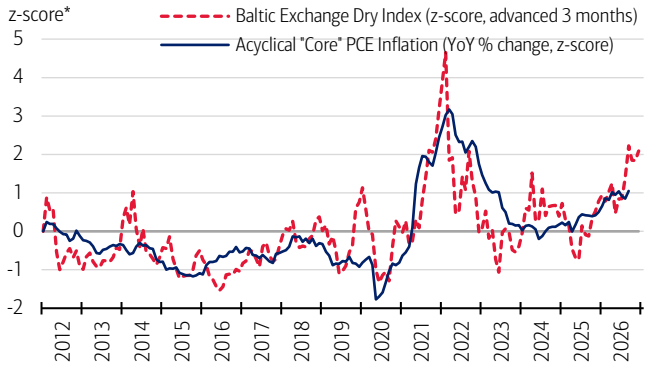
In sum, the economy remains more resilient than expected, but the bond market is also charging more for an uncertain inflation outlook given untethered government debt and cooling global demand for Treasurys spurred by geopolitical tensions and Japan capital repatriation. The case for much further tightening becomes stronger if wage growth strengthens, productivity lags, and unit labor costs reaccelerate, causing cyclical inflation to also pick up steam. The case becomes weaker if that measure stays contained while fuel and freight pressures recede or rising Treasury yields reduce asset prices and economic growth.

Exhibit 1: Softer Cyclical/Higher Acyclical Inflation Keeps "Core" PCE at 3% Year Through August.

A) Cooling wage pressures ease cyclical inflation (housing, food services and accommodation, etc.).



B) Surge in U.S. AI-related imports, tariff front-running, shipping disruptions and fuel- price spike feed acyclical inflation.



*Z-score = number of standard deviations from the mean of a data set. **Inflation driven by wage growth and unemployment gap. Exhibit 1A) Source: Bureau of Economic Analysis; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. Exhibit 1B) Source: Baltic; San Francisco Federal Reserve/Haver Analytics. Data as of September 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[1] BofA Global Research Global Wave is an indicator that quantifies global economic trends, and it is used to forecast stock market performance.

Yields, Yen and Iran: What Haunts the "House"

Lauren Sanfilippo, ***Director and Senior Investment Strategist***

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

We recently highlighted the three-front challenge facing Treasury Secretary Scott Bessent: engineering a stronger yen, containing the 10-year Treasury yield and securing a diplomatic resolution to the conflict with Iran.

Bessent recently has delivered one of the year's more memorable lines while discussing Treasury policy and the yen: "I have asymmetric information. I am the house now."[2] Yet several challenges remain: the 10-year Treasury yield is near levels last seen in the early 2000s, the yen remains structurally weaker, and a phased agreement to reopen the Strait of Hormuz appears remote. The resulting strain on energy markets keeps inflation risks elevated.

Put differently, oil prices, Treasury yields and the dollar-yen exchange rate are all trending against Bessent's objectives. Below, we examine how each variable is haunting his "house."

Haunting the "House" is the Yen. Since the U.S. and Japan mounted a record $98.7B coordinated intervention in late July after the yen weakened to a 40-year low near 164 per dollar, the currency has appreciated roughly 4% against the dollar. The move was further supported on September 18 when the BoJ raised rates by 25 basis points (bps) to 1.25%, their highest level since the mid-1990s (Exhibit 2A). However, the split 7–2 vote and Governor Ueda's limited forward guidance leave the path of further tightening uncertain. The key question is whether additional BoJ hikes can produce sustained appreciation in the yen, or merely reinforce the temporary relief provided by the summer intervention.

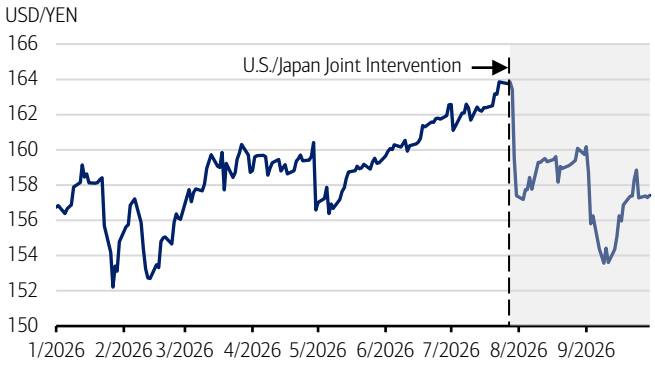
Bessent, meanwhile, has repeatedly signaled his preference for a stronger yen. Partly because yen stability is also a U.S. financing concern. Persistent currency weakness could prompt Japan to support its currency by selling foreign assets, including U.S. Treasurys—which would be an unwelcome prospect as Washington partially relies on foreign capital flows to fund its large fiscal deficits. That potential "haunts" the Treasury Secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, it would be inopportune for one of America's largest creditors to become a significant seller of Treasury securities.

Investment Implications

While some key variables are complicating the macro backdrop (i.e., higher-for-longer yields/oil) the combination of strong earnings growth, robust consumer demand (real final sales to private domestic purchasers grew at 4.6% for Q2) and ongoing capital investment suggests that the fundamental backdrop for U.S. Equities remains constructive.

Exhibit 2: Charting the "Yentervention" and U.S. Treasury Yields Surge Across the Curve.

A) The Yen Regains Some Strength.



B) 5-Year Forward Yields Hold Above 5%.

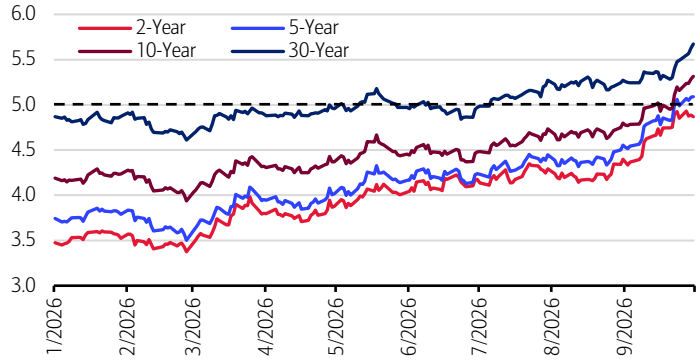


Exhibit 2A) Source: Bloomberg. Data as of September 30, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 30, 2026.

Haunting the "House" are Yields. The surge in yields runs counter to a White House intent on lowering borrowing costs. The benchmark 10-year yield has broken above the 5% threshold and climbed to levels not seen since 2007. At around 5.30%, it stands more than a full percentage point above where it began the year (Exhibit 2B). The level is striking but so is the speed of the move: Stronger-than-expected economic data, including a survey showing U.S.

[2] September 8, 2026.

business activity expanded at the fastest pace in more than five years, helped trigger an 18 bps surge in the 10-year yield—among its largest daily moves in decades. The 5-year yield also topped 5% for the first time since 2007, while the 30-year yield reached 5.63%, its highest level since 2002.

Compounding the move is inflation, running above the Fed's 2% target for 67 months, large fiscal deficits and the prospect of continued growth in Treasury issuance. Against this backdrop, Treasury bought back $4.1 billion of long-dated debt, versus a maximum of $6 billion. That effort has done little to arrest the selloff. A subsequent auction priced nearly $4 billion of 7-year notes at 5.085%, the highest yield for that maturity in 33 years.

All in, the MOVE index, a key gauge of Treasury market volatility, jumped from 78 to 95 on Wednesday September 23 and then to 104 the following day, its highest level since the early days of the Iran war (Exhibit 3A).

Haunting the "House" is the Iran conflict. Early expectations that military pressure and economic sanctions would quickly bring Iran to the negotiating table have yet to materialize. Iranian officials have signaled that a full reopening of the Strait of Hormuz remains unlikely while sanctions stay in place. Although talks between Washington and Tehran are continuing, conflicting signals and lingering skepticism from both sides have kept tensions elevated. As a result, oil prices have remained elevated in a range even as some Middle East supply disruptions began to ease.

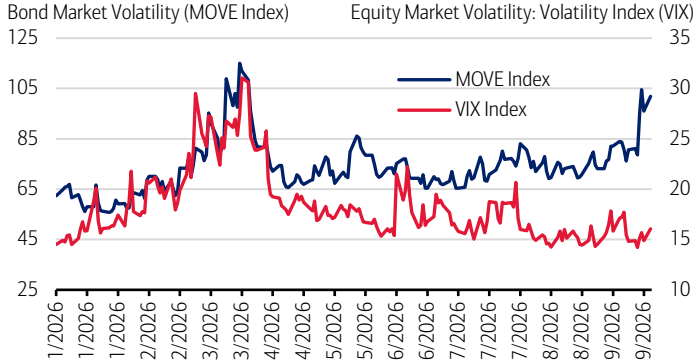
Startling is that Brent crude is up more than 60% this year, but refined product prices have risen even faster. Ongoing disruptions to energy flows through the Strait of Hormuz, combined with Ukrainian strikes on Russian refining infrastructure have tightened global supplies of crude oil and refined fuels. Saudi Arabia has restored some drone-disrupted flows, providing roughly 3.5 million barrels a day of relief (roughly 3% of global consumption).

The squeeze is mostly acute in diesel markets, where inventories remain constrained and prices continue to climb (Exhibit 3B). U.S. diesel prices recently surpassed $6.50 per gallon, the highest level on record, just as Russia has extended restrictions on diesel exports into October. Against this backdrop, proposals to ban U.S. fuel exports risks worsening the imbalance. According to S&P Global, an export ban could reduce refinery runs by nearly 2 million barrels per day and significantly cut gasoline production, potentially driving gasoline and jet fuel prices even higher. As long as tensions persist, the oil impulse remains a key impediment to structurally lower inflation.

Investment implications. Treasury Secretary Bessent increasingly sits at the intersection of monetary policy, fiscal policy, foreign policy and national security. We remain constructive on the U.S. economy and overweight U.S. Equities but are watching as these fronts challenge the narrative. There is a great deal riding on the "house" versus the key macro variables of today.

Exhibit 3: Pulse Check on: Equity/Bond Volatility and Diesel/Gasoline Prices.

A) Bond and Equity Market Volatility Diverge.



B) Pain at the Pump: Diesel Prices Surge Ahead of Gasoline.

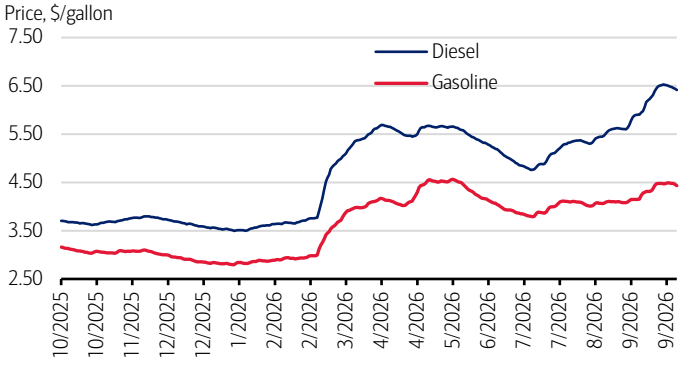


Exhibit 3A) Source: Bloomberg. Data as of September 22, 2026. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

THOUGHT OF THE WEEK

When It Comes to Attracting Foreign Capital, the U.S. Remains Exceptional

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

There may be no better vote of confidence in a country than the willingness of foreigners to put their money there. And by that measurement, the U.S. remains the exception—both portfolio and FDI inflows are currently running at record highs based on the latest data. This dynamic is one key reason why we remain constructive on U.S. assets over the longer term.

Notwithstanding all the handwringing about America's fiscal deficits, tariffs and rising government debt, global investors sunk some $942B in net purchases of U.S. Equities in the 12 months to July, the highest rolling 12-month total on record. In Q2, net purchase of U.S. Equities soared to $426B, up 62% from the same period a year ago (Exhibit 4A). By country, flows were down from China—not surprisingly—but strong from Taiwan and South Korea, who have taken to recycling their massive AI-generated trade surplus back into the U.S. In the end, strong portfolio inflows suggest that international investors remain willing to increase their exposure to the world's largest capital market—that's bullish for U.S. assets.

Meanwhile, Exhibit 4B highlights the growing push among foreign multinationals to be inside the U.S., with FDI inflows totaling nearly $240B in the first six months of this year. That is a staggering 103% jump from a year ago and means FDI inflows are on track for a record year, estimated at $480B for 2026.

There are multiple factors behind surging inflows: One, due to rising U.S. trade protectionism, foreign multinationals increasingly want to be "inside" the U.S. economy, not outside. Two, within the $32 trillion-plus economy with extraordinarily consumer purchasing power, foreign firms prefer to be closer to their customers via investment than just trade (exports). Three, America's massive investment cycle in AI, data centers, semiconductors, power generation, etc., has created numerous potential investment opportunities for many foreign firms that don't want to miss out on America's surging capex cycle. Four, and finally, abundant energy supplies, deep capital markets and a highly developed technological ecosystem have also induced more FDI inflows.

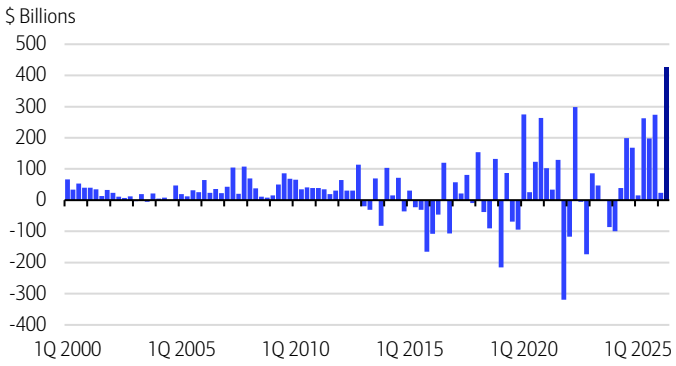
In the end, double-barreled capital inflows speak to the absolute and relative attractiveness of the U.S. economy and capital markets. Stay invested in America—the rest of the world is.

Investment Implications

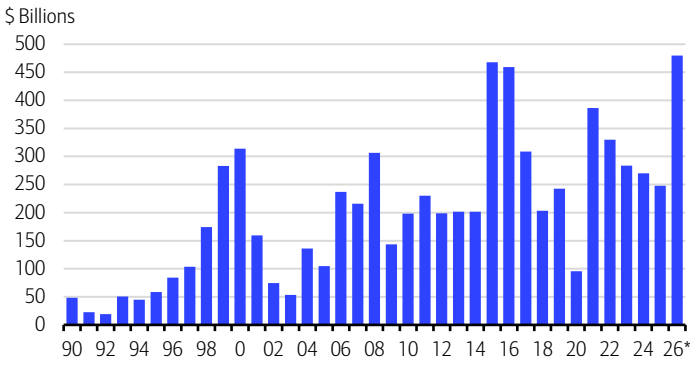
Foreign investors remain keen on owning and being "inside" the U.S. That is bullish for U.S. securities, both near-term and long-term.

Exhibit 4: U.S. Exceptionalism: Record Inflows of Portfolio and FDI Inflows.

A) Net Foreign Purchases of US Equities and Investment Funds.



B) FDI Inflows to the U.S.



*Annualized. Exhibit 4A) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. Exhibit 4B) Source: U.S. Bureau of Economic Analysis. Data as of September 24, 2026. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,176.96	-1.3	0.5	7.8
NASDAQ	27,190.86	0.5	1.2	17.5
S&P 500	7,722.72	-0.2	0.9	13.8
S&P 400 Mid Cap	3,668.01	0.6	2.0	12.1
Russell 2000	2,832.90	-0.1	1.3	15.2
MSCI World	4,926.25	-0.6	0.5	12.3
MSCI EAFE	3,095.35	-1.5	-1.0	9.3
MSCI Emerging Markets	1,708.91	-1.2	0.2	23.7

Fixed Income†

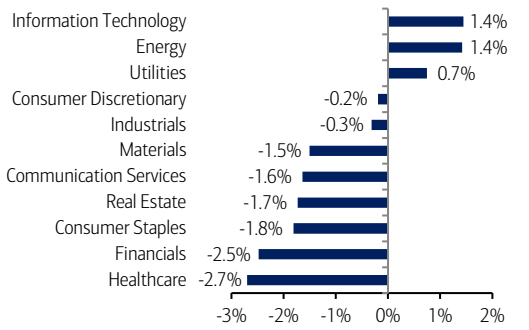
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.44	-0.54	0.01	-2.83
Agencies	5.22	-0.25	0.05	-1.14
Municipals	4.63	0.45	1.02	-3.20
U.S. Investment-Grade Credit	5.56	-0.60	0.05	-2.86
International	6.05	-0.70	-0.01	-3.13
High Yield	8.29	-0.65	0.04	0.14
90 Day Yield	4.09	4.17	4.11	3.63
2 Year Yield	4.82	4.85	4.89	3.47
10 Year Yield	5.27	5.16	5.28	4.17
30 Year Yield	5.62	5.49	5.63	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	366.42	-1.9	-0.2	32.6
WTI Crude $/Barrel††	91.11	-1.4	0.8	58.7
Gold Spot $/Ounce††	4141.19	-3.4	-0.4	-4.1

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.13	1.14	1.13	1.17
USD/JPY	157.85	157.28	157.41	156.71
USD/CNH	6.71	6.72	6.71	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/28/2026 to10/2/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 10/2/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 10/2/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.5	2.2	2.4*	2.3	2.2	2.2
CPI inflation (% y/y)	2.7	3.8	3.4*	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.5*	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2*	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of October 2, 2026.
Sources: BofA Global Research; GWIM ISC as of October 2, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight	Neutral	Overweight
Global Equities			●
U.S. Large-cap Growth			●
U.S. Large-cap Value			●
U.S. Small-cap Growth			●
U.S. Small-cap Value			●
International Developed		●	
Emerging Markets			●
Global Fixed Income		●	
U.S. Governments		●	
U.S. Mortgages		●	
U.S. Corporates		●	
International Fixed Income		●	
High Yield		●	
U.S. Investment-grade Tax Exempt		●	
U.S. High Yield Tax Exempt		●	
Alternative Investments*			
Hedge Strategies			
Private Equity			
Private Credit			
Real Assets			
Cash			

CIO Equity Sector Views

Sector	CIO View Underweight	Neutral	Overweight
Industrials			▶
Financials			▶
Healthcare		▶	
Consumer Discretionary		◀	
Information Technology		●	
Energy		●	
Materials		●	
Utilities	◀		
Communication Services	●		
Real Estate	●		
Consumer Staples	◀		

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

RETURN TO FIRST PAGE

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

ICE BofA MOVE Index is a market-implied measure of U.S. bond market volatility.

Consumer Price Index measures the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Baltic Dry Index is a daily shipping and trade index published by the Baltic Exchange in London that measures the cost of moving raw materials like iron ore, coal, and grain by sea.

Volatility Index (VIX) is a real-time market indicator that measures the stock market's expected volatility over the next 30 days.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 28, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy:* Entering 2026, consensus was expecting moderating U.S. growth, interest rate cuts from the Federal Reserve (Fed), modest earnings growth, contained energy prices, and continued Republican control of Washington. Nine months later, nearly every part of the consensus view has unraveled. Instead, the year has been defined by a succession of five major shocks: a diesel energy shock, a dramatic shift from expected interest rate cuts to rate hikes, an earnings boom, unexpectedly hot economic growth, and a shifting political landscape ahead of the midterm elections.

And yet, the biggest shock of all may not be the shocks themselves but the continued ability of the U.S. economy and corporate sector to overcome them.

Market View—*2026 Has, So Far, Defied the Traditional Midterm Year Playbook:* The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and artificial intelligence remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued. While volatility could rise as election day approaches, seasonal trends turn increasingly constructive into year-end and following the election. For investors, the implication is straightforward: Look through short-term political uncertainty, stay focused on fundamentals, and maintain a long-term perspective. The midterm elections are quickly approaching with several matters at hand. Geopolitical uncertainty, inflation pressures, fiscal concerns, affordability and Artificial Intelligence (AI) remain key considerations, yet markets have thus far defied the traditional midterm year playbook. U.S. Equities have remained resilient, with performance outpacing historical patterns and market pullbacks remaining relatively subdued.

While volatility could rise as election day approaches, seasonal trends turn increasingly constructive into year-end and following the election. For investors, the implication is straightforward: Look through short-term political uncertainty, stay focused on fundamentals, and maintain a long-term perspective.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What is the bond market telling us?

AUTHORS

Joseph Quinlan
Managing Director and Head of Market Strategy

Lauren Sanfilippo
Director and Senior Investment Strategist

Jordy Fuentes
Assistant Vice President and Investment Strategist

Christopher Hyzy
Chief Investment Officer

MACRO STRATEGY ▶

MARKET VIEW ▶

THE TICKER TAPE ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.
Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9143850 9/2026

The Five Shocks of 2026—And the Extraordinary Resilience of the U.S. Economy

Joseph Quinlan, ***Managing Director and Head of Market Strategy***
Lauren Sanfilippo, ***Director and Senior Investment Strategist***

This is the year the consensus got mugged.

Rewind to the start of the year. The market consensus was that the U.S. economy was set to slow. The Fed was set to cut interest rates. Corporate earnings were set to grow—but not explode. Energy prices would remain tame. And the odds looked good that the Republicans would control the House, the Senate, or both, following the midterm election.

Nine months on, the landscape looks starkly different. Defined by five shocks—energy, interest rates, earnings, growth, and politics—2026 looks nothing like the year investors thought they were buying on January 1.

Shock 1: Diesel Matters. While global oil prices have moved higher since the start of the U.S./Iran war on February 28, oil prices have yet to surpass their previous record high because the world has released some 400 million barrels from strategic reserves this year, China has curbed its demand for oil imports, and the U.S. has goosed its energy exports to record highs.

But here is the problem: While gasoline powers the American consumer, diesel powers the American economy—and diesel prices are now sitting at record highs. Diesel supplies have been hammered by wars in the Middle East and Ukraine that have sharply reduced refining capacity. According to the International Energy Agency, by August, exports of diesel from refiners in the Middle East had fallen by a quarter from prewar levels. Meanwhile, Ukraine has hit 24 of Russia's 34 largest refineries, reducing supplies from one of the world's largest diesel exporters. The upshot: U.S. diesel prices have soared from $3.55 a gallon at the start of the year to roughly $6.52 a gallon. While crude oil trades for around $100 a barrel, the retail equivalent of a barrel of diesel now costs more than $260. The diesel shock of 2026 was the last thing investors saw coming—and remains a key impediment to structurally lower inflation.

Shock 2: From Interest Rate Cuts to Rate Hikes. Perhaps no other consensus view entering 2026 has been turned more dramatically on its head than expectations for the Fed. Heading into 2026, markets were pricing in rate cuts on expectations of a cooling labor market, moderating inflation, and slower economic growth. The Fed easing cycle was expected to continue in 2026. In January 2026, futures showed a roughly 50% chance of a cut by March.

Expectations, however, flipped in late February with the start of the U.S./Iran war. The Middle East energy shock reignited inflationary pressures, which, combined with stronger-than-expected U.S. economic growth and a tightening labor market, have demolished the odds of easier money in 2026. Short- and long-term Treasury yields rose sharply last week in the wake of the S&P Global Flash U.S. Composite Purchasing Managers' Index (PMI) which pointed to the strongest business expansion in more than five years and the fastest employment growth in over four years, while also reinforcing expectations that the Fed will maintain a restrictive policy stance for longer. Markets were expecting two to three quarter-point rate cuts in 2026; instead, the Fed has already raised rates once this year and is expected to keep raising rates over the near term.

Shock 3: The Earnings Boom No One Saw Coming. Not all the shocks of 2026 are negative. Indeed, stronger-than-expected corporate earnings have been among the most positive factors of this year. Corporate America entered the year facing questions about tariffs, AI-related capital expenditure spending, the health of the U.S. consumer, operating leverage and the U.S. dollar outlook. At the start of the year, Wall Street was expecting roughly $290 of S&P 500 earnings per share for 2026, per Bloomberg estimates. But by September 21, the estimate had risen by $50, to $340 per share.

Investment Implications

While some of these shocks may contribute to periods of market volatility, the combination of strong earnings growth, robust domestic demand, and ongoing capital investment suggests that the fundamental backdrop for Equities remains constructive.

Earnings have been upgraded and underpinned by several factors, including robust final domestic demand in the U.S., a pickup in global growth, AI-related capital spending, productivity gains, and enhanced operating leverage. All these variables have helped deliver an earnings "shock" to Wall Street. And as an aside, yes, headline profit growth has been inflated by strong technology earnings and one-off investment gains from Amazon and Alphabet. That said, the S&P 500's earnings story remains extraordinary. According to FactSet, the 493 companies excluding the Magnificent 7[1] posted 31.8% earnings growth in Q2, the strongest level since late 2021.

Shock 4: An Economy with more Horsepower than the Headlines Suggest. That corporate profits have exceeded expectations this year is due in no small part to an economy that continues to surprise to the upside. The Fed was supposed to cut rates this year to keep the economy humming and prevent it from losing steam. But rather than limp through 2026, the economy has leaped ahead. Yes, real gross domestic product (GDP) growth of 2.1% in Q1 and 1.5% in Q2 are hardly blockbuster annualized rates of growth. However, the figures belie the underlying strength of the U.S. economy, with real final domestic demand (which strips out trade) running at a 4.2% annual rate in Q2. According to the latest reading of the Atlanta Fed GDP tracker, Q3 real GDP growth is running at a red-hot rate of 5.1%. Slowdown? What slowdown?

Resilient consumer spending, robust capital investment, record levels of new business formation, and strong foreign direct investment inflows have combined to stoke growth in the $32 trillion behemoth called the U.S. economy—the most resilient and dynamic economy in the world.

Shock 5: The Unexpected Washington Reset. The last shock is still in the making, but given current trends, the odds are rising that the Democrats could control both the House and Senate following the midterm elections. To this point, in January, and per Kalshi, the Democrats had a 71% shot at the House and an 18% chance of taking the Senate. Fast-forward to today, and the odds are a 90% chance that the Democrats take the House and a 60% chance that they take the Senate.

How all of this plays out remains to be seen—there are some 36 days before the November vote, and anything can happen. The market base case remains that the Democrats take the House, and the Senate is a toss-up—or too close to call. But with the Democrats expected to control at least one chamber of Congress, investors can expect more volatility and uncertainty about negotiations over the budget, debt ceiling, defense spending and AI regulation. Another political wildcard to watch: the changing dynamics within the Democratic Party.

The Biggest Shock of All for 2026? Perhaps it's not $6 diesel, rising interest rates, solid growth, booming profits or shifting politics. Rather, it's the ability of the U.S. economy to absorb the unexpected, not buckle under stress, and continue generating wealth for investors. To wit, the S&P 500 is on pace for its fourth consecutive year of double-digit returns.

Exhibit 1: The Five Shocks of 2026: What Investors Expected vs. What They Got.

	January 2026 Consensus	September 2026 Reality	The Shock
ENERGY	Relatively contained energy costs	Diesel above $6/gallon	Energy shock—a new tax on the physical economy
INTEREST RATES	Fed easing expected	Fed raised rates 25 basis points in September to 3.75%-4.00%	Rate shock—easing cycle goes into reverse
EARNINGS	Solid but moderating profit growth	S&P 500 Q2 earnings growth headed toward around 29+	Positive earnings shock—corporate America vastly outperforms
POLITICS	Republican control of Washington	Democrats lead 44%-37% in recent generic congressional polling; chamber control remains contested	Political shock—policy outcomes become much less certain
GROWTH	Cooling economy	Fed now projects 2.3% 2026 GDP growth, above its 2.0% longer-run estimate	Growth shock—economy has more horsepower than anticipated

Sources: Chief Investment Office; Federal Reserve; Energy Information Administration; FactSet. Data as of September 2026.

[1] Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla.

2026 Has, So Far, Defied the Traditional Midterm Year Playbook

Jordy Fuentes, ***Assistant Vice President and Investment Strategist***

Current Landscape. To no surprise, market volatility persisted in 2026. Performance initially tracked historical midterm election patterns before diverging meaningfully as the year progressed, though there are still three months to go. Several items remain at hand as U.S. voters head to the polls in November, including geopolitical and foreign policy uncertainty, energy driven inflation pressures, affordability concerns, U.S. fiscal trajectory, and rapid advancements in AI. Regardless of the eventual political outcome, history suggests that markets and the economy can perform well across different configurations of government. In our view, markets continue to be anchored by strong fundamentals and encouraging seasonal trends.

Investment Implications

In our view, any related market weakness could represent a potential buying opportunity for long-term investors.

To Be Addressed. U.S. domestic and foreign policy remain in focus as the global reorder, tit-for-tat tariffs, and geopolitical conflicts spanning the Middle East to Eastern Europe have added layers of uncertainty to the U.S. economic outlook.

At the same time, persistent geopolitical flare-ups have pushed oil prices materially higher, adding to inflation pressures and keeping them above the Fed's 2% target. Headline Consumer Price Index (CPI) held above 3% year-over-year (YoY) in August, while its core measure, which excludes food and energy, held at 2.4% YoY. The latest Personal Consumption Expenditure (PCE), the Fed's preferred measure of inflation, also remained above 3% YoY for both its headline and core figures.[2]

The U.S. fiscal trajectory is another area of focus. The U.S. budget deficit stands at 5.4% of GDP, just above this century's average of 4.6%. Meanwhile, U.S. public sector debt surpassed the $40 trillion mark for the first time in August, oscillating around 100% of GDP.[3] While these trends warrant close monitoring, we view them as a slow-moving structural headwind rather than an immediate concern, particularly within a highly innovative and diverse U.S. economy.

AI has emerged as a policy consideration, with debates increasingly centered on both regulatory safeguards and the economic implications of the expanding infrastructure buildout. For voters, those concerns extend to affordability, as the significant energy requirements of new data centers raise questions about potential pressure on electricity costs.

Strap In for The Ride. Leading up to the midterm election, markets tend to experience greater swings as investors navigate uncertainty surrounding the policy path for the remainder of the presidential cycle (Exhibit 2A). Since 1930, the S&P 500 has averaged an intrayear drawdown of 20% in midterm years, with the latest election in 2022 experiencing a 25% intrayear pullback. This year, however, the S&P 500 largest peak-to-trough drawdown has been 9%, considerably shallower than its long-term average (Exhibit 2B). Yet while volatility may rise as election day approaches, 2026 has increasingly defied the traditional midterm year playbook.

Why 2026 is Different. Despite entering a challenging stretch of the presidential cycle, U.S. Equities have materially outpaced the typical year two pattern (Exhibit 2C). The S&P 500 experienced its best Q2 in a midterm year since 1938, surging 14.9% compared to an average decline of 1.6%. From a monthly perspective, September stands out as the weakest month, though month-to-date performance points to an unusual 1.0% rise. That resilience follows a 2.6% gain in August, another month in which performance meaningfully exceeded the historical decline of 0.5% (Exhibit 2D).

Through September, U.S. Equity resilience has also extended beyond headline returns with both the frequency and magnitude of market pullbacks remaining relatively subdued. Market corrections of 10% or more have occurred in just 29% of midterm election years since 1930.[4] Against this backdrop, the market's last correction came in spring 2025, while this year has

[2] Bloomberg, Bureau of Labor Statistics. Data through August 31, 2026.
[3] U.S. Treasury, Bureau of Economic Analysis. Data as of September 21, 2026.
[4] Bloomberg, data through December 31, 2022.

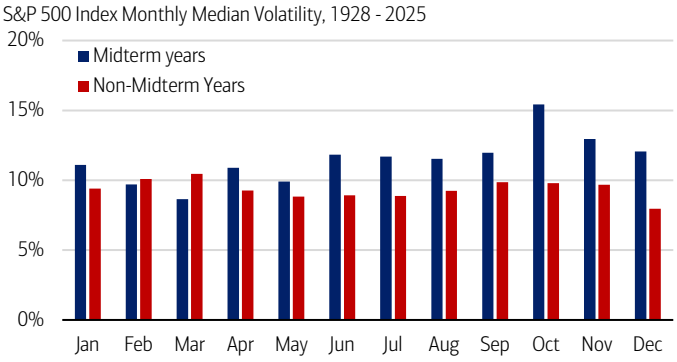
seen only one 5%+ pullback compared to the average three per year, underscoring relatively resilient market conditions.[5] Year-to-date, the S&P 500 has increased 13%, well above the average annual return of 3% according to Bloomberg through September 25, and on pace to mark the strongest midterm election year since 2006. Taken together, 2026 has thus far defied the traditionally weak midterm year seasonal pattern, reinforcing that every election cycle is unique and historical trends may be a useful guide to navigate market volatility.

What's Ahead? Forward performance is increasingly constructive for Equities. In the post-war period, the S&P 500 rose 100% of the time in the six and 12 months following elections, averaging 13% and 14%, respectively.[6] Even narrowing the time frame to three months, markets ended higher 90% of the time. As investors push through the finish line, the last three months of the year tend to be the strongest with October standing out, ending higher 67% of the time. On average, Q4 has gained 5.6% since 1930, far surpassing the preceding three quarters of election years.[7] Greater clarity about the U.S. fiscal policy path serves as a potential tailwind for investors following the election.

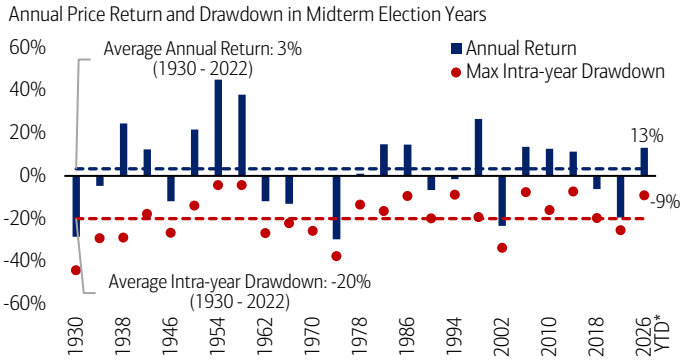
To Take Home. Volatility tends to rise during midterm years, but history suggests that reacting to short-term political uncertainty has rarely rewarded long-term investors. Over longer horizons, the data suggests Equity returns and economic strength are shaped less by election outcomes than by corporate profits, valuations, labor market conditions and capital investments.

Exhibit 2: A Look at Midterms Through Charts.

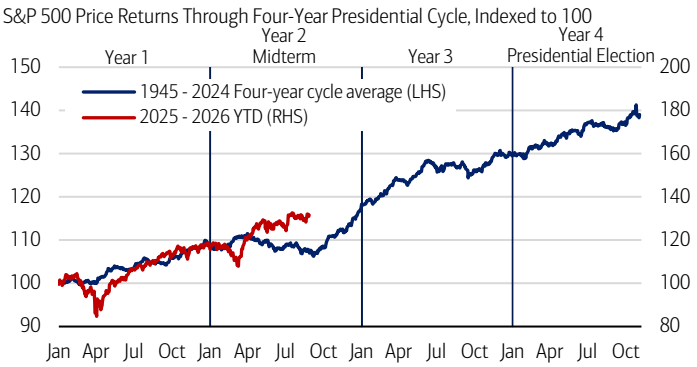
A) S&P 500 Volatility by Month.



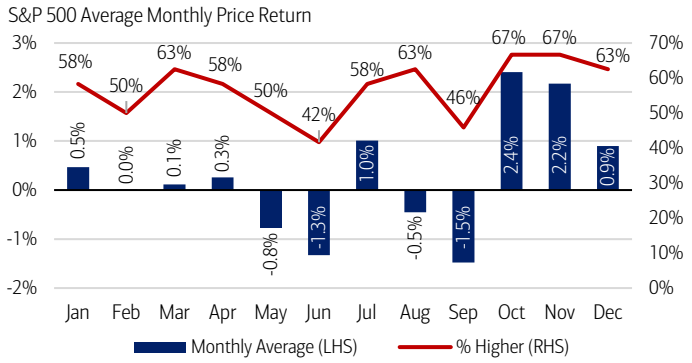
B) S&P 500 Annual Price Return by Midterm Election Year.



C) S&P 500 Price Returns Through Four-Year Presidential Cycle, Index to 100.



D) S&P 500 Monthly Performance During Midterm Election Years (1930 - 2022).



*Year-to-Date. Exhibit 2A) Source: Bloomberg. Data through December 31, 2025, as of September 22, 2026. Volatility is calculated using the standard deviation of daily S&P 500 price returns each month. Median volatility for each month is displayed on an annualized basis. Exhibit 2B) Source: Bloomberg. Data as of September 25, 2026. Price returns referenced. Exhibit 2C) Source: Bloomberg. Data as of September 25, 2026. 1945 - 2024 period through December 31, 2024. 2025 – 2026 YTD period through September 25, 2026. Exhibit 2D) Source: Bloomberg, as of September 22, 2026. Data through December 31, 2022. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

[5] BofA Global Research, Bloomberg. Data as of September 22, 2026.
[6] Chief Investment Office, Bloomberg. As of September 22, 2026. Post-war period: 1946 – 2022. Price returns referenced.
[7] Bloomberg. Data as of September 22, 2026. Price returns referenced.

What is the bond market telling us?

Christopher Hyzy, *Chief Investment Office*

We believe the bond market is telling us that the Fed is on track to meeting their dual mandate of price stability and full employment. More importantly, when examining the full yield curve the 2-year Treasury yield is currently around 4.88%, which typically is the most sensitive to the fed funds rate and tends to price in future potential policy adjustments. At the same time, the 10-year Treasury yield is currently about 5.11%. This leads us to believe that the market expects the Fed to engineer a couple of more hikes while the back end of the curve is indicating that economic growth is still healthy.

Taken together, it appears the full curve, which has clearly flattened, believes the Fed is doing its job, while supply shocks, for obvious reasons, are not leading to higher long-run inflation. The backup in long-dated yields is growth, not necessarily inflation as indicated by rising "real" yields. Therefore, we view the drift higher in yields as a more normal sign than what many have originally suggested. We continue to emphasize higher economic growth for longer, rising productivity in the medium term, supply shortages to remain in key areas within the AI space, and shocks in the energy equation. We expect the energy shocks to ultimately fade away over time, but we do not believe that growth fades anytime soon. In our view, a more normal bond market pricing in Fed moves at the short end, and growth at the long end helps financial conditions and economic growth operate in a more durable manner.

In summary, the front-end of the curve expects 3 to 4 more hikes in the next 18 months or so. This can be debated obviously based on future data especially short-term energy supply shocks. Long-end yields are drifting higher based on five main factors below, in our view.

1. Strong economic growth (both services and manufacturing)
2. Hawkish Fed
3. Debt and deficit concerns
4. Lower demand for long duration sovereign debt in general
5. Energy supply shocks

The largest weight being strong economic activity which kick starts portfolio repositioning particularly as the Fed hikes rates. The repositioning stops once demand rises again when yields reach attractive levels for the more patient longer term investment community. The supply shocks ultimately end and debt and deficit worries will likely remain, but they still take a backseat for now. Longer duration government debt is becoming more attractive each week even in the face of the concerns above. Be patient

Investment Implications

We continue to expect resilient economic growth, supported by productivity gains, AI-related investment, and a more balanced bond market that may help sustain favorable financial conditions.

Exhibit 3: The Treasury Yield Curve Prices Additional Tightening and Continued Growth.

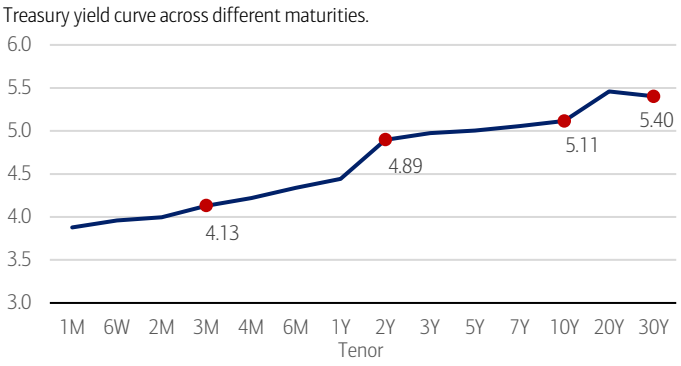
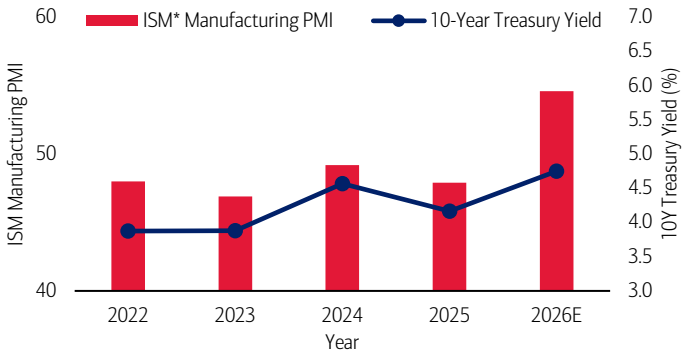


Exhibit 4: Economic Growth Has Remained Resilent Amid Higher Yields.



E=estimate. Exhibit 3) Source: Bloomberg. Data as of September 23, 2026. Exhibit 4) Source: Bloomberg. Data as of August 31, 2026. 2022-2025 are year-end *Institute for Supply Management (ISM) Manufacturing PMI data and 10-year yield data. 2026 uses latest available ISM Manufacturing PMI data from August 31, 2026 and 10-year yield data from August 31, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,828.62	0.3	-2.4	9.1
NASDAQ	27,068.72	2.1	2.7	17.0
S&P 500	7,743.41	1.2	0.8	14.1
S&P 400 Mid Cap	3,648.57	0.0	-2.9	11.4
Russell 2000	2,837.55	-0.8	-3.9	15.3
MSCI World	4,957.96	0.9	-0.1	13.0
MSCI EAFE	3,148.63	0.2	-2.5	10.9
MSCI Emerging Markets	1,732.35	1.3	0.9	25.2

Fixed Income†

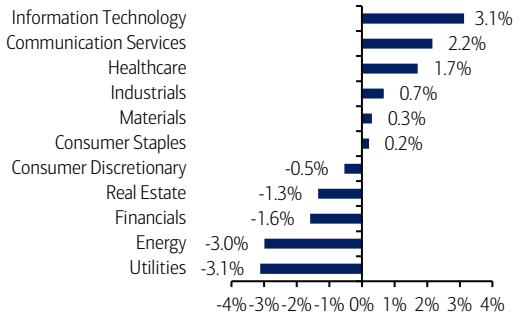
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.36	-0.80	-1.86	-2.30
Agencies	5.14	-0.39	-1.33	-0.89
Municipals	4.69	-1.81	-3.82	-3.63
U.S. Investment-Grade Credit	5.46	-0.82	-1.98	-2.28
International	5.93	-1.07	-2.05	-2.44
High Yield	8.10	-0.92	-1.84	0.80
90 Day Yield	4.17	4.07	3.83	3.63
2 Year Yield	4.85	4.74	4.34	3.47
10 Year Yield	5.16	5.00	4.75	4.17
30 Year Yield	5.49	5.33	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	373.41	-0.7	2.4	35.2
WTI Crude $/Barrel††	92.41	-7.9	7.8	60.9
Gold Spot $/Ounce††	4284.81	-2.1	-3.4	-0.8

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.14	1.15	1.16	1.17
USD/JPY	157.28	156.88	159.74	156.71
USD/CNH	6.72	6.70	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/21/2026 to 09/25/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/25/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/25/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.7	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 25, 2026.
Sources: BofA Global Research; GWIM ISC as of September 25, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies Private Equity Private Credit Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	
Financials				▶	
Healthcare			▶		
Consumer Discretionary				◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Price Return is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States. A price return index is a stock market index that tracks only the price changes and capital gains or losses of its component securities, without including dividends or cash distributions.

S&P Global Flash U.S. Composite Purchasing Managers' Index is an early monthly economic indicator that estimates overall private-sector business activity by combining manufacturing and service data.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a market basket of everyday goods and services.

Institute for Supply Management Manufacturing Purchasing Managers' Index is a monthly economic indicator reflecting U.S. manufacturing sector health by surveying purchasing managers about business conditions.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.

MERRILL
A BANK OF AMERICA COMPANY

CHIEF INVESTMENT OFFICE

Capital Market Outlook

September 21, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Yen, 10-Year Yield and Iran: Bessent's Three-Front War and the Stakes for Investors:* Scott Bessent may carry the title of Treasury secretary, but these days he looks more like America's financial field marshal. His battlefield stretches from Tokyo, where he is trying to engineer a stronger Japan yen, to the U.S. Treasury market, where he is battling to keep the 10-year yield from breaking decisively above 5%, and to Tehran, where he has become the point man in the escalating U.S. campaign to squeeze Iran financially and economically.

How Scott Bessent's three-front war plays out remains to be seen. A decisive victory on all three fronts is unlikely since corralling currency and bond markets is next to impossible, while the whims of geopolitics can lay waste to the best laid plans. That said, however, the U.S. Secretary of the Treasury has signaled that he is ready to take a very proactive, pro-growth approach to his job. That's the good news. The less encouraging news stems from the inconsistencies in the overarching objectives of the Treasury secretary.

Market View—*Beyond AI's Resource Footprint, Consider its "Handprint":* Behind every Artificial Intelligence (AI)-generated response is a vast physical network of data centers, power plants, transmission lines, cooling systems, semiconductor facilities and critical-mineral supply chains. As adoption accelerates, growing demand for power, water, advanced hardware and raw materials could strain grids, raise emissions and intensify pressure on local resources. Yet the sustainability conversation should extend beyond AI's footprint to consider whether its environmental benefits can outweigh its resource demands.

Thought of the Week—*The Beauty of September:* Call it an eventful first 13 trading days of September: Brent crude re-eclipsed $100 per barrel, diesel prices surpassed $6 per gallon for the first time in history, the 10-year U.S. Treasury yield breached 5%, and the Federal Reserve (Fed) joined the European Central Bank (ECB) and the Bank of Japan (BoJ) in hiking rates for the first time since July 2023. Through it all, the S&P 500 has shed 1.4% since the start of the month. It's not unexpected that September would be choppy for U.S. Equities, especially in a midterm election year. The good news is that this has historically been an attractive entry point. Since 1950, the S&P 500 has never been negative in the six or twelve months post-midterm election, boasting average returns of 13.8% and 15.8%, respectively. Volatility is likely to rise into October before moderating post-election. A correction amid a strong fundamental economic backdrop would be a potential buying opportunity in our view.

AUTHORS

Joseph Quinlan
Managing Director and Head of Market Strategy

Anna Potts, CFA®
Vice President and Investment Strategist

Ariana Chiu
Assistant Vice President and Investment Strategist

MACRO STRATEGY ▶

MARKET VIEW ▶

THOUGHT OF THE WEEK ▶

MARKETS IN REVIEW ▶

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Chartered Financial Analyst® and CFA® are registered trademarks owned by CFA Institute.
Merrill Lynch, Pierce, Fenner & Smith Incorporated (also referred to as "MLPF&S" or "Merrill") makes available certain investment products sponsored, managed, distributed or provided by companies that are affiliates of Bank of America Corporation ("BofA Corp."). MLPF&S is a registered broker-dealer, registered investment adviser, Member SIPC and a wholly owned subsidiary of BofA Corp.

Investment products:

Are Not FDIC Insured	Are Not Bank Guaranteed	May Lose Value

Please see last page for important disclosure information.

9131803 9/2026

MACRO STRATEGY

The Yen, 10-Year Yield and Iran: Bessent's Three-Front War and the Stakes for Investors

Joseph Quinlan, ***Managing Director and Head of Market Strategy***

Scott Bessent may carry the title of Treasury Secretary, but these days he looks more like America's financial field marshal. His battlefield stretches from Tokyo, where he is trying to engineer a stronger Japan yen; to the U.S. Treasury market, where he is battling to keep the 10-year yield from breaking decisively above 5%; and Tehran, where he has become the point man in the escalating U.S. campaign to squeeze Iran financially and economically.

Make no mistake about it: Secretary Bessent and the Treasury Department are increasingly an instrument of American economic statecraft, charged not simply with financing the government and overseeing the financial system, but with managing markets, currencies and geopolitical adversaries simultaneously. Welcome to the new age of financial warfare.

Front One: Defending the Yen. The first front unfolded over the summer when Secretary Bessent and the BoJ stealthily intervened in support of the yen, which had fallen to a near 40-year low against the dollar by late July. To arrest the yen's decline, the U.S. Treasury sold euros instead of dollars in support of the yen, while pushing the BoJ to make use of the Fed's emergency repo facilities. In further support of the yen, the BoJ did what Bessent and the markets have been pining for, raising its official rate by 25 basis points (bps) to 1.25%.

Since intervening in the foreign exchange markets, the yen has appreciated by nearly 5% against the U.S. dollar, alleviating concerns of a disorderly unwind of the yen and giving Bessent—thus far—an important victory. Defending the yen, of course, isn't simply about Japan—it's about the U.S. and the need for foreign capital inflows.

Japan is one of America's largest foreign creditors. A persistently weak yen creates pressure on Tokyo to defend its currency, potentially by selling some of its enormous holdings of foreign assets, including U.S. Treasurys. That prospect didn't sit well with the Treasury secretary. At precisely the moment Washington needs foreign capital to finance its enormous fiscal deficits, the last thing Mr. Bessent wants is one of America's largest creditors to become a significant seller of Treasury securities. Hence, the battle to backstop Japan's currency.

Front Two: Defending the 10-Year Bond. Mr. Bessent has had less success on the second front: the U.S. bond market. While the 10-year Treasury yield slipped slightly following last week's decision by the Fed to boost the fed funds rate by 25 bps, the benchmark interest rate is up roughly 85 bps since the start of the year. Stubbornly high inflation, elevated oil prices, enormous government borrowing requirements and growing investor anxiety over America's fiscal trajectory have all converged and conspired to keep the 10-year yield closer to 5% than 4%.

Field Marshal Bessent is very aware that the 10-year Treasury is the gravitational center of global finance—and that mortgage rates, corporate borrowing costs, equity valuations and the government's own interest bill all take their cue from it. A sustained move materially above 5% would tighten financial conditions across the American economy, potentially threaten the Equity bull market, and pile more pressure on the Republican Party.

To prevent this from happening, the Treasury has expanded its bond-buyback operations, including purchases of longer-dated government securities, in an effort to improve liquidity and relieve some pressure on the market, while shifting new government debt issuance into short-term bills. Yet the bond vigilantes have so far proved harder to intimidate than currency traders. Even after Treasury announced additional purchases, yields continued climbing before receiving some relief from the latest hawkish move from the Fed.

Over the medium term, if investors believe Washington is borrowing too much, inflation is running too hot or the supply of bonds is overwhelming global demand, they will demand a higher yield to own America's debt. This battle is far from over.

Front Three: Squeezing Tehran. Then there is Iran, where Mr. Bessent is wielding an entirely different weapon: America's control over the plumbing of global finance. In practice

Investment Implications

We expect continued investor support and preference for real hard assets, and a bias towards a plethora of commodities and industrial plays.

this means the Treasury can make a foreign bank choose between doing business with Iran or the U.S. It can freeze assets, blacklist companies, restrict transactions and pressure allies to close financial escape routes.

Under "Operation Economic Outcast," billed as economic "D-Day," Treasury has intensified sanctions against Iranian entities and financial networks, including recent actions against Iran aviation and additional efforts aimed at banks and organizations facilitating Tehran's international transactions. Mr. Bessent has described the objective in unusually stark terms: to "economically asphyxiate" the Iran regime. This is economic warfare in its purest form, but whether it works remains to be seen.

"Asphyxiating" an economy takes time and patience—and international cooperation and coordination. It means closing multiple global loopholes of third-party entities still willing and able to do business with Iran—look no further than Russian banks. In addition, squeezing a major oil producer runs the risk of aggravating global oil supplies, keeping oil prices elevated. Higher energy costs, in turn, feed right back into the U.S. inflation outlook the Fed is trying to tame and keeps the bond vigilantes on guard and ready to push back. Not unlike the battle to suppress U.S. bond yields, the battle to bring Iran to heel is going to be a long one.

How does it all end? How Scott Bessent's three-front war plays out remains to be seen. A decisive victory on all three fronts is unlikely since corralling currency and bond markets is next to impossible, while the whims of geopolitics can lay waste to the best-laid plans.

That said, however, the U.S. Treasury Secretary has signaled that he is ready to take a very proactive, pro-growth approach to his job. That's the good news. The less encouraging news stems from the inconsistencies in the overarching objectives of the Treasury secretary.

Mr. Bessent can pressure Iran because access to the dollar-based financial system remains extraordinarily valuable. He can intervene in foreign-exchange markets because America's financial resources give Washington enormous clout. And he can attempt to influence the Treasury market because U.S. government securities remain the foundation of the global financial system. But therein lies the contradiction.

The U.S. is simultaneously weaponizing the financial system abroad while becoming more dependent on that same financial system at home. Washington wants the world to fear losing access to dollars while also asking the world to lend it trillions of dollars. It wants to use Treasury and dollar dominance as instruments of geopolitical coercion while running fiscal deficits that require foreigners to continue believing deeply in those very assets.

The more Washington borrows, the more sensitive it becomes to bond-market discipline. The more aggressively it weaponizes access to the dollar, the greater the incentive for adversaries to seek alternatives. And the more the Treasury secretary intervenes directly in markets, the more investors may begin wondering where economic policy ends and market management begins.

Exhibit 1: Scott Bessent's Three-Front War.

The Front	The Problem	Bessent's Objective	The Weapon
The Yen	Weak yen/currency instability	Stronger yen	Foreign Exchange intervention, policy coordination, pressure on Japan
The Yield	Rising 10-year Treasury yield	Lower/contained yields	Debt-management strategy, buybacks, issuance policy
Iran	Tehran's access to global finance	Maximum financial pressure	Sanctions, asset restrictions, dollar-system leverage

Source: Chief Investment Office.

For the moment, Mr. Bessent is fighting on three fronts. He wants a stronger yen, a lower 10-year Treasury yield and an economically isolated Iran. Success on any one front would be difficult. Achieving all three simultaneously will require considerable skill—and perhaps a little luck.

Beyond AI's Resource Footprint, Consider its "Handprint"

Anna Potts, *CFA, Vice President and Investment Strategist*

Since the launch of ChatGPT, investors have celebrated AI's potential while growing more concerned about its resource footprint: Behind every AI-generated response is a physical network of data centers, power plants, transmission lines, cooling systems, semiconductor facilities and critical-mineral supply chains. No doubt, the AI revolution has environmental costs. As adoption accelerates, growing demand for power, water, advanced hardware and raw materials could strain grids, raise emissions and intensify pressure on local resources. Yet the sustainability conversation should extend beyond AI's footprint to consider whether its environmental benefits can outweigh its resource demands.

AI's footprint is large, growing and certainly not trivial. AI increases electricity demand, adds large, concentrated loads to already constrained grids, and may slow the retirement of polluting energy assets. U.S. data centers could account for 20% of national electricity consumption by 2035, up from 5.9% today, with power needs reaching 194 gigawatts (comparable to the electricity demand of more than 150 million homes).[1] Cooling, power generation and semiconductor manufacturing require water; each new megawatt also embeds substantial copper, aluminum and other materials; and short hardware cycles can increase electronic waste. Use varies sharply by workload: Complex reasoning and agentic tasks can consume many times more energy than a simple text prompt. The effects are already reaching consumers and communities. Wholesale power costs on PJM—the largest U.S. grid—rose 76% year-over-year in Q1 2026, while data-center load included in its previous two capacity auctions added an estimated $13.8 billion to customer bills.[2] Communities are mobilizing around their concerns, including affordability, water use and air pollution: Q1 2026 produced the largest single quarterly concentration of delayed or blocked data-center projects on record.[3] Opposition is therefore becoming a development constraint to be considered.

Context, caveats and comparisons. Headlines often tell only part of the story. Globally, data centers account for about 1% of electricity use,[4] modest relative to many industries, and 9% of estimated global 2025 to 2030 electricity growth.[5] A typical text prompt on one major company's AI model[6] uses 0.24 watt-hours of electricity, emits 0.03 grams of CO_2 and consumes 0.26 milliliters of water—roughly 617,000 prompts match the emissions from producing and cooking one sirloin steak, while 262,000 match the water used in an eight-minute shower.[7] Still, billions of interactions, more complex workloads and growth in resource-constrained regions can create meaningful cumulative impacts. The most meaningful assessment therefore depends on workload, utilization, location, grid mix, cooling design, local water availability and who bears the cost of supporting infrastructure, not one universal number.

AI's Handprint. While much remains to be seen, AI's environmental "handprint"—the benefits it can enable—could potentially prove larger than its direct footprint in some areas. Across the energy system, AI can help utilities better match electricity supply and demand, balance grids, optimize storage and reduce wasted energy. Data centers already account for more than 30% of corporate renewable power-purchase agreements, helping create long-dated demand for clean generation.[8] Beyond power, AI can improve precision agriculture, streamline transportation and inventories, and support product

Investment Implications

Responsible AI growth requires investment in power generation, grid modernization, energy storage, advanced cooling, water treatment and reuse, efficient computing, and materials recovery and recycling. Diversified environmental and thematic strategies may offer exposure to these physical enablers while reducing reliance on benchmark names.

[1] BloombergNEF, Data Centers on Track to Suck Up a Fifth of US Power Use by 2035, July 21, 2026.
[2] BloombergNEF, AI Buildout Drives 76% Power Bill Jump on Largest US Grid, May 14, 2026.
[3] Data Center Watch, Q1 2026 Insights Report, May 2026.
[4] Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026.
[5] International Energy Agency, as of January 2026.
[6] Google Cloud, Amin Vahdat and Jeff Dean, "How Much Energy Does Google's AI Use? We Did the Math," August 21, 2025.
[7] U.S. Environmental Protection Agency, WaterSense, May 2026.
[8] Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026.

design, predictive maintenance, waste sorting and recycling. AI is transforming climate risk management by using satellite imagery, weather data and predictive analytics to forecast floods, wildfires and extreme weather events, enabling governments, companies, and investors to anticipate risks and allocate capital more effectively (Exhibit 2). These gains are not automatic: they depend on innovation, adoption, and whether efficiency improvements reduce total resource use rather than simply stimulate more demand. All industries are faced with the opportunity to responsibly use AI to make operations more efficient, and much is yet to be discovered.

Exhibit 2: From Footprint to Handprint: Select AI Environmental Applications.

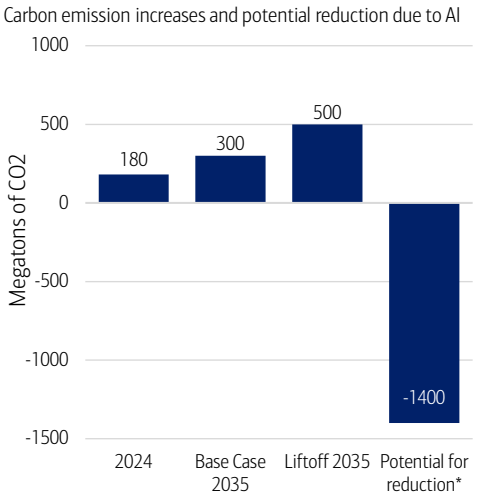
ELECTRONS	CLIMATE RISK	WATER	MATERIALS
• Save over $100 billion annually through grid optimization, forecasting and operational efficiency improvements in power plants. • Scaled applications could avoid up to 1.5 Gt of CO_2 by 2035, about five times projected data-center emissions. (See Exhibit 3.) • Reduce contrail formation by 62% among flights that successfully followed AI-generated avoidance plans in a 2,400-flight transatlantic trial. • Reduce vehicle stops by up to 30% and intersection emissions by up to 10% through AI-optimized traffic signals.	• Identify properties exposed to flood or wildfire risk. • Assess supply chain vulnerabilities. • Model physical risks to infrastructure and real assets. • Price insurance and credit risk more accurately. • Evaluate climate adaptation opportunities.	• Reduce water, fertilizer and chemical inputs while helping farmers grow up to 30% more food. • Improve leak detection and water-system management. • Use wastewater recycling, rainwater harvesting and closed-loop cooling which can reduce freshwater demand by 50-70%.	• Use generative design and digital twins to reduce material intensity before production. • Improve maintenance, inventories, waste sorting and recycling: AI-guided sorting systems can process 80 items per minute at up to 99% accuracy—more than twice the speed of human sorting.

Sources: Pictet Asset Management, "Sizing AI's Environmental Footprint," July 2026; BofA Global Research, "Data Centers: Power-Hungry, Water-Thirsty, Metals-Needy, $5tn Opportunity," April 21, 2026; BloombergNEF, "Data Centers on Track to Suck Up a Fifth of US Power Use by 2035," July 21, 2026; BloombergNEF, "AI Buildout Drives 76% Power Bill Jump on Largest US Grid," May 14, 2026; BloombergNEF, "AI's Environmental Impact Per Task Balloons With More Complexity," September 3, 2026.; Google Research, March 2026.; US Plastics Pact.

AI's potential handprint becomes more tangible in transportation, agriculture and climate resilience. In aviation, for example, AI can combine weather forecasts, flight paths and atmospheric conditions to reroute aircraft around regions where warming contrails are most likely to form—reducing climate impact without requiring a new aircraft or fuel system. On farms, machine learning can interpret aerial imagery and field-level sensor data to identify crop stress early, directing water, fertilizer and chemicals to where they are needed and helping growers improve yields while reducing inputs. AI can also strengthen climate preparedness by analyzing satellite imagery, weather data and infrastructure exposure to detect deforestation, anticipate floods or wildfires, and identify communities, facilities and supply chains most vulnerable to physical hazards. These are just a few examples that illustrate how AI's value can extend beyond incremental efficiency gains to reshape real-world decisions.

Investment Considerations. The challenges created by AI also create potential investment opportunities. Companies are investing in efficient chips, closed-loop cooling, reclaimed-water systems, energy storage, grid upgrades and cleaner firm power to reduce resource intensity and improve reliability. Professionally managed environmental and thematic strategies can target these "picks and shovels" of the digital buildout, alongside businesses using AI to improve efficiency across energy management, water infrastructure, environmental services, waste management and compute. A disciplined thematic approach can diversify exposure beyond the largest benchmark constituents while positioning for structural growth in power demand, grid modernization and resource efficiency. Focusing solely on AI's footprint risks overlooking both the companies helping it scale more efficiently and the broader environmental benefits its handprint may enable.

Exhibit 3: AI Drives Up Carbon Dioxide Emissions, But Applications of it Could Offset.



Source: International Energy Agency, Energy and AI, April 2025. *References IEA's Widespread Adoption Case, which explores the impact that known AI applications could have at the sectoral level by 2035, assuming the widespread adoption of the application or technology.

The Beauty of September

Ariana Chiu, *Assistant Vice President and Investment Strategist*

Call it an eventful first 13 trading days of September: Brent crude re-eclipsed $100 per barrel, diesel prices surpassed $6 per gallon for the first time in history, the 10-year U.S. Treasury yield breached 5%,[9] and the Fed joined the ECB and the BoJ in hiking rates for the first time since July 2023. Through it all, the S&P 500 has shed 1.4% since the start of the month, while its equal-weighted counterpart is down by 3.3%.

It's not all too unexpected that September would be a choppy month for U.S. Equities. Historical seasonal patterns suggest as much. Since 1928, the average S&P 500 return in September has come out to -1.1%,[10] not only the worst month of the year on average but also the only month when the benchmark has ended lower more often than it's ended higher. Similar weakness has been seen in midterm election years, with the S&P 500 producing an average September return of -0.8% since 1950.[10]

The good news is that this has historically been an attractive entry point for U.S. Equity investors. Call it the beauty of September: In contrast to September's average decline, average returns improve in October (+3.0%), November (+2.7%), and December (+0.8%). Indeed, the S&P 500 has never been negative in the six or 12 months post-midterm election since 1950 (Exhibit 4A), boasting an impressive average return of 13.8% and 15.8% over those respective periods.[10]

Looking ahead to the coming weeks, we have little reason to believe that 2026 will diverge from the historical trend. Volatility is likely to rise into October before moderating post-election, in line with what's typical in the months surrounding the midterms (Exhibit 4B). A quieter corporate calendar ahead of Q3 earnings means investor focus will remain on incoming macro data, the path of energy prices, and the Fed's policy path.

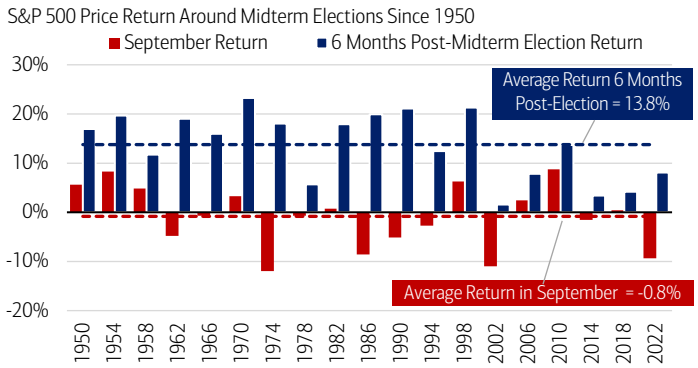
In the meantime, while the S&P 500 still stands just 2.7% below its mid-August high, churn beneath the surface already appears to be taking place. Just 38% of S&P 500 members now stand above their 50-day moving average versus 70% a mere month ago.[9] Far from worrisome, a correction in the near term in the context of a strong fundamental economic backdrop would be a potential buying opportunity in our view.

Investment Implications

With growth continuing to suggest a strong earnings backdrop, we remain overweight U.S. Equities and view possible episodic volatility and weakness in the coming months as a potential buying opportunity in portfolios.

Exhibit 4: History Tells Us to Look Beyond September.

A) Look Past September: S&P 500 Returns Tend to Improve Post-Midterm Election.



B) Implied Equity Volatility Tends to Peak Near Midterm Election Day.

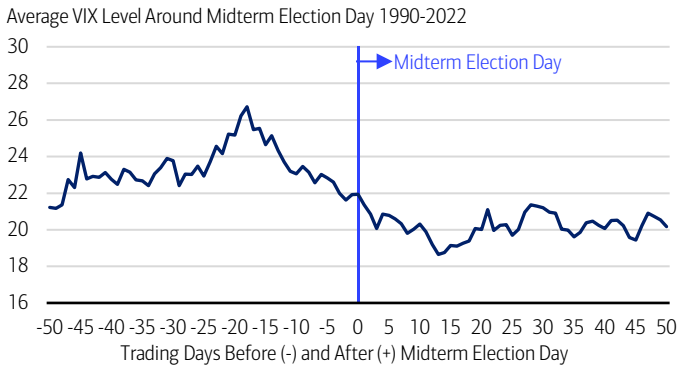


Exhibit 4A): Source: Bloomberg. 6 month period defined as 125 trading days after respective midterm election date. Data through 2022. Exhibit 4B): Source: Bloomberg. Refers to average expected volatility of the S&P 500 over the next 30 days. Data from 1990-2022. **Past performance is no guarantee of future results.** Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report.

[9] Bloomberg. Data as of September 18, 2026.
[10] Refers to data through 2022.

Equities

Equities	Total Return in USD (%) Current	WTD	MTD	YTD
DJIA	51,682.64	-1.6	-2.7	8.8
NASDAQ	26,522.54	0.7	0.6	14.6
S&P 500	7,650.50	-0.1	-0.4	12.7
S&P 400 Mid Cap	3,650.73	-1.7	-2.8	11.5
Russell 2000	2,860.40	-1.5	-3.2	16.2
MSCI World	4,913.98	-0.5	-1.0	11.9
MSCI EAFE	3,142.97	-1.6	-2.7	10.7
MSCI Emerging Markets	1,710.85	-0.6	-0.4	23.6

Fixed Income†

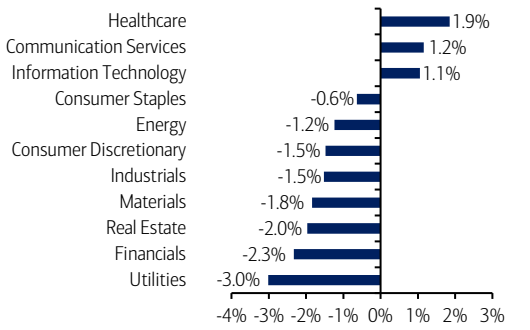
Fixed Income	Total Return in USD (%) Current	WTD	MTD	YTD
Corporate & Government	5.23	-0.03	-1.07	-1.52
Agencies	5.02	-0.22	-0.94	-0.50
Municipals	4.37	-0.31	-2.05	-1.86
U.S. Investment-Grade Credit	5.32	-0.03	-1.16	-1.46
International	5.77	0.13	-0.99	-1.39
High Yield	7.73	-0.28	-0.93	1.73
90 Day Yield	4.07	4.00	3.83	3.63
2 Year Yield	4.74	4.63	4.34	3.47
10 Year Yield	5.00	4.97	4.75	4.17
30 Year Yield	5.33	5.35	5.24	4.84

Commodities & Currencies

Commodities	Total Return in USD (%) Current	WTD	MTD	YTD
Bloomberg Commodity	376.01	0.2	3.1	36.1
WTI Crude $/Barrel††	100.30	0.2	17.0	74.7
Gold Spot $/Ounce††	4378.63	0.7	-1.3	1.4

Currencies	Total Return in USD (%) Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.16	1.16	1.17
USD/JPY	156.88	153.61	159.74	156.71
USD/CNH	6.70	6.71	6.72	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 09/14/2026 to 09/18/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 09/18/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 9/18/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.3	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.4	2.3	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.4	3.6	3.4	2.6
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.6	2.6	2.6
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.1
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of September 18, 2026.
Sources: BofA Global Research; GWIM ISC as of September 18, 2026.

Asset Class Weightings (as of 9/1/2026)

Asset Class	CIO View Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	CIO View Underweight		Neutral		Overweight
Industrials				▶	●
Financials				▶	●
Healthcare			▶	●	
Consumer Discretionary			●	◀	
Information Technology			●		
Energy			●		
Materials			●		
Utilities		●	◀		
Communication Services		●			
Real Estate		●			
Consumer Staples	●	◀			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of September 1, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Equal Weighted Index gives every company in the S&P 500 the exact same weight of 0.2% during quarterly rebalances.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

Bank of America, Merrill, their affiliates and advisors do not provide legal, tax or accounting advice. Clients should consult their legal and/or tax advisors before making any financial decisions.

This material does not take into account a client's particular investment objectives, financial situations, or needs and is not intended as a recommendation, offer, or solicitation for the purchase or sale of any security or investment strategy. Merrill offers a broad range of brokerage, investment advisory and other services. There are important differences between brokerage and investment advisory services, including the type of advice and assistance provided, the fees charged, and the rights and obligations of the parties. It is important to understand the differences, particularly when determining which service or services to select. For more information about these services and their differences, speak with your Merrill financial advisor.

This information should not be construed as investment advice and is subject to change. It is provided for informational purposes only and is not intended to be either a specific offer by Bank of America, Merrill or any affiliate to sell or provide, or a specific invitation for a consumer to apply for, any particular retail financial product or service that may be available.

The Chief Investment Office ("CIO") provides thought leadership on wealth management, investment strategy and global markets; portfolio management solutions; due diligence; and solutions oversight and data analytics. CIO viewpoints are developed for Bank of America Private Bank, a division of Bank of America, N.A., ("Bank of America") and Merrill Lynch, Pierce, Fenner & Smith Incorporated ("MLPF&S" or "Merrill"), a registered broker-dealer, registered investment adviser and a wholly owned subsidiary of Bank of America Corporation ("BofA Corp.").

The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

BofA Global Research is research produced by BofA Securities, Inc. ("BofAS") and/or one or more of its affiliates. BofAS is a registered broker-dealer, Member SIPC and wholly owned subsidiary of Bank of America Corporation.

All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

© 2026 Bank of America Corporation. All rights reserved.